

Annexure H

Business Responsibility Report

The Business Responsibility (“BR”) disclosures in this Report illustrate ELGi’s efforts towards creating enduring value for all stakeholders in a responsible manner. This Report is aligned with National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (hereinafter “NVG-SEE”) released by the Ministry of Corporate Affairs and is in accordance with Regulation 34(2)(f) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulation, 2015 (“SEBI Listing Regulations”). This Report provides an overview of the activities carried out by the Company under each of the nine principles as outlined in NVG.

Section A: General information about the Company

1.	Corporate Identity Number (CIN):	L29120TZ1960PLC000351
2.	Name of the Company:	ELGI EQUIPMENTS LIMITED
3.	Registered address:	Elgi Industrial Complex iii, Trichy Road, Singanallur, Coimbatore -641 005
4.	Website:	www.elgi.com
5.	E-mail id:	investor@elgi.com
6.	Financial year reported:	2021-2022
7.	Sector(s) that the Company is engaged in (industrial activity code-wise)	2813 – Manufacture of compressors
8.	Three key products/services manufactured (as in balance sheet):	Compressors
9.	Total number of locations where business activity is undertaken:	26 Locations
	Number of international locations (5 major):	Major locations 2021-22 Italy, Belgium, Middle-East, USA & Indonesia
	Number of national locations:	11 Locations (Jaipur, Delhi, Ahmedabad, Pune, Mumbai, Hyderabad, Chennai, Bangalore, Cochin, Tiruchengode, Coimbatore)
10.	Markets served by the Company:	Pan India across all states in India International locations to be given here

Section B: Financial details of the Company (Standalone)

1.	Paid up capital:	₹ 31,69,09,016
2.	Total turnover:	₹ 15,825.90 Million
3.	Total profit after taxes:	₹ 1,893.51 Million
4.	Total spending on corporate social responsibility (CSR) as percentage of PAT:	2%
5.	List of activities in which expenditure in 4 above has been incurred:	The initiatives undertaken by the Company are in line with the eligible areas as listed under Schedule VII of the Companies Act, 2013. Please refer CSR report annexed to the Board’s Report

Section C: Other details

1. Does the Company have any subsidiary Company/Companies? Yes, the Company has the following subsidiaries:

The Company has 25 Subsidiaries and 8 Associates/Joint Ventures as on March 31, 2022.

2. Do the subsidiary Company/Companies participate in the BR initiatives of the parent Company? If yes, then indicate the number of such subsidiary company(s).

The subsidiaries of the Company participate in BR initiatives.

3. Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities?

The Company encourages its suppliers, dealers and other stakeholders to support various initiatives taken by the Company towards its business responsibility.

Section D: BR information

1. Details of director/directors responsible for BR implementation of the BR policy/policies:

- a. Details of director/directors responsible for BR implementation of the BR policy/policies:

The Corporate Social Responsibility (CSR) Committee of the Board of Directors is responsible for implementation of BR policies. The members of the CSR Committee as on the March 31, 2022 are as follows:

S.No.	Name of the Director	Category
1	Mr. Jairam Varadaraj	Managing Director, Non-Independent
2	Mr. B Vijayakumar	Independent Director
3	Ms. Aruna Thangaraj	Independent Director

- b. Details of BR head

S.No.	Particulars	Details
1	DIN Number (if Applicable)	00003361
2	Name	Mr. Jairam Varadaraj
3	Designation	Managing Director
4	Telephone Number	0422-2589555
5	E-mail id	investor@elgi.com

2. Principle-wise (as per NVGs) BR policy/policies:

The National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business released by the Ministry of Corporate Affairs has adopted nine areas of Business Responsibility. These are as follows:

P1 Business ethics	Business should conduct and govern themselves with ethics, transparency and accountability
P2 Product responsibility	Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle
P3 Wellbeing of employees	Businesses should promote the well-being of all employees
P4 Stakeholder engagement	Businesses should respect the interests of and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized
P5 Human rights	Businesses should respect and promote human rights
P6 Environment	Business should respect, protect and make efforts to restore the environment

P7 Public policy	Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner
P8 CSR	Businesses should support inclusive growth and equitable development
P9 Customer relations	Businesses should engage with and provide value to their customers and consumers in a responsible manner

2.(a) Details of compliance (reply in Y/N)

Sl. No	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	Do you have a policy/policies for	Y	Y	Y	N	N	Y	N	Y	Y
2.	Has the policy being formulated in consultation with the relevant stakeholders?	Y	Y	Y	N	N	Y	N	Y	Y
3.	Does the policy conform to any national/international standards? If yes, specify? (50 words)	The policies are in line with international standards and practices such as ISO 9001: 2015 , ISO 14001: 2015, ISO 45001: 2018, ISO 50001: 2018. , ISO 22000: 2018 and ISO/TS 22163: 2017								
4.	Has the policy being approved by the Board? Is yes, has it been signed by MD/owner/CEO/ appropriate board director?	Y	N	Y	N	N	N	N	Y	N (But it has been signed by the appropriate owner)
5.	Does the Company have a specified committee of the board/director/official to oversee the implementation of the policy?	Y	N	Y	N	N	N	N	Y	Y
6.	Indicate the link for the policy to be viewed online?	http://www.elgi.com Not all policies may be available in this link in due course access to all policies will be provided								
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	N	N	Y	N	Y	Y
8.	Does the Company have in-house structure to implement the policy/policies?	Y	Y	Y	N	N	Y	N	Y	Y
9.	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/ policies?	Y	Y	Y	N	N	Y	N	Y	Y
10.	Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	N	N	N	N	N	N	N	N	N

2.(b) If answer to the question at serial number 1 against any principle, is 'No', please explain why: (tick up to 2 options)

Sl. No	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	The Company has not understood the principles				The Company has understood the principles but does not have a policy yet in place	The Company has understood the principles but does not have a policy yet in place		The Company has understood the principles but does not have a policy yet in place		
2.	The Company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles				The Company has an unwritten policy of respecting the interests of and be responsive towards all stakeholders, Especially those who are disadvantaged, vulnerable and Marginalized. The Company does not discriminate Between Stakeholders.	The Company is not in a position to adequately put these policies in place.		The Company is not at a stage where it finds itself in a position to formulate and implement this policy.		
3.	The Company does not have financial or manpower resources available for the task				The Company does not find a need to have a written policy. Hence, it has not assessed manpower resources for the task.	Since the Company does not find a need to have this policy, it has not assessed manpower resources for the task.		Since the Company does not find a need to have this policy, it has not assessed manpower resources for the task.		
4.	It is planned to be done within next 6 months				NO	NO		NO		
5.	It is planned to be done within the next 1 year				NO	NO		NO		
6.	Any other reason (please specify)				None	None		None		

3. Governance related to BR:

(a) Indicate the frequency with which the Board of Directors, Committee of the Board or CEO assess the BR performance of the Company. Within 3 months, 3-6 months, annually, more than 1 year.

There is no defined frequency. Assessment is an ongoing exercise and is an inherent part of corporate management.

(b) Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

Yes. The Company publishes the BR Report annually. For 2021-22, the Company has also released a brief sustainability report.

Section E: Principle-wise performance

Principle 1: Ethics, Transparency and Accountability.

1. Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/No. Does it extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?

ELGi holds the highest standards of integrity and behaviour, ensuring compliance and adherence to the law and internal regulations. ELGi has zero tolerance for corruption and violations of the principles of fair competition. Suppliers have to sign a code of conduct before transacting with the Company that they will not engage in unethical behaviour and will not bribe or attempt to bribe Company officials. The policy will be extended to subsidiaries and joint ventures.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.

There were no complaints from the Shareholders and Customers on ethics, transparency or accountability during the financial year 2021-22. It is of utmost importance for the Company to ensure that its stakeholders' concerns are resolved expeditiously.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.
 - 3 to 4% improvement in energy efficiency has been achieved in compressors through design changes. The Company has developed and launched several models incorporating these improvements. ELGi has also expanded the range of oil free compressors.
 - The Company has worked on improving consumable life that will render performance, life and environmental benefits. It also released products with heat recovery systems to recover the waste heat from compressor and used in auxiliary applications to save energy.
 - The Company released PG1250 a diesel-powered compressor for water well drilling. The compressor is employed with a patented control system that gives significant fuel savings and benefits to environment.

- The Company also released products with an optional outdoor protection kits that will enable its products to work consistently under stretched environmental conditions with compromising on performance and reliability.
- ELGi launched OFD (Oil-free disrupted) compressors which potentially will replace traditional oil free compressors with a significant improvement in efficiency and lower initial cost. This product meets the requirement of sensitive applications like pharmaceuticals, food and beverages and electronics. The Company has also expanded its range of OFD compressors.
- The Company indigenously developed and manufactured motors that deliver higher efficiency at lower cost. These motors are used in ELGi's compressors now.

2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product(optional):

The Company is not capturing resource use as of now. But the Company is working towards capturing details for energy and raw material alone.

- (a) Reduction during sourcing/production/distribution achieved since the previous year throughout the value chain?

The below savings apply to old and new products put together. the Company does not have a method to capture details separately for old and new products yet.

- a. Energy Consumption/-For Manufacturing Air End
(17 - 18 : 433 Kwh/Air end) (18 - 19 : 386 Kwh/Air end) (19 - 20 : 375 Kwh/Air end)
- b. Water Consumption/man (17 - 18 : 90 Lts/Man)
(18 - 19 : 85 Lts/Man) (19 - 20 : 82 Lts/Man)

- (b) Reduction during usage by consumers (energy, water) has been achieved since the previous year?

The usage of new products (compressors) with 3% energy efficiency will normally result in a corresponding 3% reduction in energy consumption at consumers' sites. In Oil Free Disrupted (OFD) compressors, the amount of oil used is one fifth of its equivalent earlier models and the efficiency will reduce the amount of electricity consumed and consequently the cost to the customers.

3. Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced

sustainably? Also, provide details thereof, in about 50 words or so.

Yes. The Company has suppliers on board ranging from Micro, Small & Medium Enterprises (MSME) to large domestic and Multi-National Companies. The Company possesses a commodity specific sustainable sourcing plan. There are suppliers on board for more than two decades located within Coimbatore region itself, due to ELGi's "Sustainable Sourcing Plan". The Company supports many MSME's.

4. Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

Yes, please see answer to 3 above. On ELGi designed parts, the primary source planning is done only within Coimbatore based suppliers.

The Company works with suppliers very closely and technically supports them to establish manufacturing capabilities and capacity. The Company conducts supplier quality improvement programs, continuous improvement program and training on KANBAN systems thereby enabling its MSME suppliers to move to the next level.

5. Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5% ,10%, >10%). Also, provide details thereof, in about 50 words or so.

UPS batteries used in the Air center Plant machines are re-utilized at ELGi School lab. The Company generates minimal quantities of hazardous waste, electronic waste, oil waste, used batteries and foundry fine sand and all of these are disposed of in accordance with prevailing pollution control law.

300 Tons of waste sand have been converted as a solid block for construction purpose year 2020-21

Principle 3: Businesses should promote the well-being of all employees.

1. Please indicate the total number of employees: 2,162
2. Please indicate the total number of employees hired on temporary/contractual/casual basis: 650

3. Please indicate the number of permanent women employees: 165

4. Please indicate the number of permanent employees with disabilities: 2

5. Do you have an employee association that is recognized by management: There are no formal associations but the management engages with employee committees on a continuous basis.

6. What percentage of your permanent employees is members of this recognized employee association? Not applicable.

7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year. - NIL

8. What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year?

(a) Permanent employees: 60%

(b) Permanent women employees: 88%

(c) Casual/temporary/contractual employees: 89%

(d) Employees with disabilities: 67% (3 employees)

Principle 4: Businesses should respect the interests of and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.

ELGi firmly believes that business sustainability is possible only by taking along all stakeholders, internal as well as external. The Company has mapped its key stakeholders and engages with them in a fruitful dialogue through various mechanisms and practices. ELGi seeks timely feedback and response through both formal and informal channels of communication to ensure that stakeholders are updated. The Company has well established processes for identifying and engaging with stakeholder groups.

1. Has the Company mapped its internal and external stakeholders? Yes/No
Yes.

2. Out of the above, has the Company identified the disadvantaged, vulnerable & marginalized stakeholders?

ELGi has identified the disadvantaged and marginalized stakeholders amongst its employees and vendors.

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders. If so, provide details thereof, in about 50 words or so.

All stakeholders are treated on an equal footing. Though no special initiatives have been taken towards disadvantaged, marginalised and vulnerable stakeholders, the Company believes that an initiative directed against such stakeholders is not very relevant under current circumstances. The Company has however, been procuring components from micro and small enterprises. The Company is sensitive to and has been promptly attending to their needs, believes in and has always paid all its vendors in time. Differently abled employees are given additional attention as required.

Principle 5: Businesses should respect and promote human rights

The Company does not have a standalone Human Rights policy. However aspects of human rights such as child labour, occupational safety, non-discrimination are covered by its various Human Resources policies. ELGi's Code of Conduct demonstrates its commitment towards the preservation of human rights across the value chain. The Company has grievance redressal mechanism in place to deal with issues related to discrimination, retaliation and harassment. These policies cover ELGi and its subsidiaries.

There have been no complaints received and disposed regarding violation of human rights during the year 2021-22.

1. Does the policy of the Company on human rights cover only the Company or extend to the group/joint ventures/suppliers/contractors/NGOs/others?

The Company proposes to gradually extend its policy to other stakeholders.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

None

Principle 6: Business should respect, protect and make efforts to restore the environment

1. Does the policy related to principle 6 cover only the Company or extends to the group/Joint Ventures/suppliers/contractors/NGOs/others.

Health, Safety and Environment policy, Energy policy apply to the Company, its suppliers and contractors.

2. Does the Company have strategies/initiatives to address global environmental issues such as climate change, global warming, etc? Y/N. If yes, please give hyperlink for webpage etc.

The Company has specific initiatives to address climate change and global warming. Energy conservation measures are an on going exercise and annually, the initiatives are spelt out in the Company's annual report. Going forward, the Company has set for itself an internal target of reducing carbon emissions, that are in any case very minimal, by 10% every year. The Company also owns 250 KW - 5 windmills that have contributed to minimizing the impact of global warming and climate change. It contributes 15% of the total energy.

All the manufacturing plants are certified for ISO 14001:2015 Standard (Environment Management System), ISO 14024:2018 (Green product certification), ISO 45001:2018 Standards (Safety Management System), ISO 50001:2011 (Energy Management System) with TUV Nord.

The Company has also utilized the foundry waste sand and converted it into solid blocks. ELGi manufactured and used 60,000 solid blocks for internal civil construction purposes.

The Company has also replaced the conventional air conditioners in a phased manner with air conditioners having environment friendly gas.

Conservation of energy and optimization of High Speed Diesel are some of the initiatives to optimize the Co2 emission.

As a part of the ISO 45001:2018 initiative, we use Poka yoke, Administrative controls and usage of PPE in each stage in order to minimize/eliminate the risk in each manufacturing process. The Company is ensuring that there is no safety incidents in all the manufacturing plants.

To reduce the High Speed Diesel consumption, the Company initiated a 250 KVA MG Set (Mechanical Generator) for testing the compressor products of various volts and various Hertz for different countries. All the CNC and SPM machines have been equipped with IoT energy concept. On-line energy monitoring system at the Air center plant and remote operations of Power House are implemented to optimize energy consumption during the Non-operating days. These initiatives have been carried out as a part of ISO 50001:2018:

As part of the product development policy, the Company is working towards ensuring that all its products are in top three positions in terms of lower energy consumption and in number one position in ensuring the UPTIME of the compressors. All new product developments and the Company's future initiatives are aligned towards this policy.

3. Does the Company identify and assess potential environmental risks? Y/N

The Company has carried out an Aspect/Impact analysis for the entire manufacturing process which addresses the Significant Aspect and Impact at shop floor. This will be carried out on a continuous basis based on the manufacturing process change.

4. Does the Company have any project related to clean development mechanism? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed?

The Company does not have any project related to clean development mechanism.

5. Has the Company undertaken any other initiatives on – clean technology, energy efficiency, renewable energy, etc. Y/N. If yes, please give hyperlink for web page etc.

Initiated 4MW Solar Power for ACP and foundry plants, we will get the renewal power from Oct 22 onwards.

Energy conservation projects are being undertaken from time to time. Currently no other initiatives are being undertaken.

The improved efficiency in products and the new OFD compressor will contribute to lower energy consumption and reduce the discharge of oil. This will have significant impact on environmental cleanliness.

6. Are the Emissions/Waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Yes, the Company has implemented an interlock system to highlight this before it reaches the set value for foundry furnace.

7. Number of show cause/legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.

None

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

i. Is your Company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:

The Company is member of the Indo Australian Chamber of Commerce, India Asian Srilanka chamber of commerce and industries, Indo German Chamber of Commerce and Industries, Indo Italian Chamber of Commerce and Industries, Indian Chamber of Commerce and Industries, and Confederation of Indian Industry (CII).

ii. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others)

No

Principle 8: Businesses should support inclusive growth and equitable development

1. Does the Company have specified programmes/ initiatives/projects in pursuit of the policy related to Principle 8? If yes details thereof

Inclusive growth and equitable development are essential to foster sustainable local development and uplift the communities in which ELGi operates. The Company's CSR Policy is consistent with and meets the compliance requirements of the Companies Act, 2013. The Company's sustainability strategy is based on one main pillar – Education. Details are available in the CSR Report for financial year 2021-22.

2. Are the programmes/projects undertaken through in house team/own foundation/external NGO/government structures/any other organization?

Some important programmes are undertaken through registered trusts. Employees are encouraged to volunteer for cause of choice in pre-defined aspects that are aligned to the community development initiatives.

3. Have you done any impact assessment of your initiative?

No formal impact assessment has been done. However, the Company has been supporting a school through two registered trusts. The wards of people living in the vicinity of Vellalore, Coimbatore area where the school is located, are predominantly benefitted. The school, through professional management and with eagle eyed focus on performance and all round development, has been able to achieve 100% pass result in Class 12 exams continuously for the last couple of years. The school is affiliated to the state board.

4. What is your Company's direct contribution to community development projects- amount in INR and the details of the projects undertaken.

The Company is supporting a School with 1500 students through a registered trust in Vellalore, Coimbatore. Company has also contributed for constructing a new school building through the registered trusts. The Company is also extending financial support to Amrit Center for Special Needs and Coimbatore Cancer Foundation. Please refer to the CSR report for 2021-22 of the Company.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

Yes. The Company collects CSR spend reports on a quarterly basis from the Trusts and monitors school activities continuously on a day to day basis. With respect to other projects, the Company monitors regularly by seeking progress reports from time to time.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner

1. What percentage of customer complaints/consumer cases are pending as on the end of financial year.

The Company has an on-line system of addressing consumer complaints that are attended to promptly. The Company has a strong customer care system in place with clear benchmarked targets for on time and reliable resolution with built escalation process. Since the complaints redressal mechanism is an on-going process, the number of complaints at any given point in time may not convey the correct picture. The Company strives to resolve all complaints to the satisfaction of its customers. For a company of this size, the number of consumer cases are very minimal. There are no consumer cases that have any material impact on the financials of the Company

2. Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes/No/N. A./Remarks (additional information)

All products carry a metallic name plate that will have details of basic data required, as per CE norms that are captured and incorporated

- | | |
|---|-------|
| 1. Model number | - Yes |
| 2. Operating pressure | - Yes |
| 3. Flow | - Yes |
| 4. Fab no | - Yes |
| 5. Manufacturing year | - Yes |
| 6. Industry standards – Like CE marking | - Yes |

In packing

- | | |
|---|-------|
| a) Box dimensions (wherever applicable) | - Yes |
| b) Weight (wherever applicable) | - Yes |
| c) Total no. of boxes (wherever applicable) | - Yes |
| d) Packing slip no. (wherever applicable) | - Yes |
| e) Customer name | - No |

- f) Item - Yes
- g) Description - Yes
- h) MRP (Wherever applicable) - Yes
- i) Month/year (Wherever applicable) - Yes

In addition to the above, the Company is following ISO 3864 for safety decals and ISO 7010 for icons used in the safety decals that are used in the compressors.

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices,

irresponsible advertising and/or anti-competitive behaviour during the last five years and pending as on end of financial year? If so, provide details thereof, in about 50 words or so.

None.

4. Did your Company carry out any consumer survey/ consumer satisfaction trends?

The Company carries out surveys at regular intervals with customers who log into its on-line customer care system.